

Trading Styles

Intraday, Swing & Positional

Explained so simply a 10-year-old gets it

Sprint, middle-distance, or marathon? Choosing the trading style that actually fits your time, money, and temperament — and writing the plan to run it.

Stock Market Mastery Roadmap • Intermediate Level
Educational only — not investment, trading, or tax advice.

You now have the tools. But **how** you trade — fast or slow, all-day or once-a-week — is a big choice. Each **trading style** is really a **different sport**. Sprinting and marathon running are both running, but they need different training. Let's find *your* race.

The three main styles

Style	How long you hold	Overnight risk?	Feels like...
Intraday	minutes to hours (closed same day)	No	a sprint
Swing	days to a few weeks	Yes	a middle-distance run
Positional	weeks to months	Yes	a marathon

Intraday: in and out the same day

You open *and* close before the market shuts — so **no overnight surprises**. But it needs **fast reactions**, a **busy (liquid) stock**, and lots of screen time. There are different flavours:

- **Scalping**  — grab **tiny profits** many times a day (lots of quick sprints).
- **Momentum**  — ride a stock that's **moving strongly** right now.
- **Breakout**  — enter as price **bursts** past a key level.
- **Mean-reversion**  — bet that a stock stretched too far will **snap back** to normal.

Swing & Positional: holding longer

- **Swing** — hold **days to weeks** to catch **one leg** of a trend. Fewer trades, but you carry **overnight and gap risk** (price can jump while you sleep).
- **Positional** — hold **weeks to months**, driven by a **thesis** (a reason you believe in). Uses **wider stops** and **far fewer trades** — patience is the skill.

WHAT IS "GAP RISK"?

When you hold overnight, news can hit while the market is **closed**. The next morning price can "**gap**" — open far above or below yesterday — *skipping right over* your stop-loss. That's the price you pay for holding longer. Intraday avoids it; swing/positional accept it in exchange for bigger moves.

Which style fits YOU?

The right style depends on your **real life**, not on what looks exciting:

-  **Time available** — can you watch screens all day, or only check in evenings?
-  **Capital** — how much money you have to work with.
-  **Temperament** — are you calm and patient, or do you love fast action?
-  **Job constraints** — a full-time job makes all-day intraday very hard.

The trading day has moods

The market behaves differently at different times — like a class before, during, and after lunch:

- **Opening range**  — the first minutes: **wild and jumpy** as everyone reacts to overnight news.
- **Mid-day**  — usually **calmer and quieter**, thinner volume.
- **The close**  — **busy again** as traders settle positions for the day.

Your trading plan (write it down!)

A **trading plan** is your rulebook, decided *calmly in advance* so you don't improvise when money is on the line. A good one names all six of these:

Part	The question it answers
Setup	What pattern/condition am I hunting?

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Entry trigger	Exactly <i>when</i> do I click buy?
Stop	Where do I admit I'm wrong and exit?
Target	Where do I take profit?
Sizing	How many shares (using the 1% rule)?
No-trade conditions	When do I sit on my hands and do nothing?



Key ideas to remember

- **Each style is a different business** — different costs, screen-time, and *source of edge*. Don't mix their rules.
- **More trades ≠ more profit.** 🔄 Trading more often just **multiplies your costs and your mistakes**. Frequency is not skill.
- **The best style is the one you can run consistently, given your life** — not the flashiest one. A calm swing trader beats an exhausted, distracted scalper.

PRACTICAL EXERCISES

- 📝 **Write a one-page trading plan** for one style, with **exact** entry, stop, and target rules — **no vague words** like "buy when it looks strong."
- 🎮 **Paper-trade that plan for 2 weeks**, logging **every time you break your own plan** (and why).
- 📊 **Compute your costs per style over 30 hypothetical trades** — see which style your **cost structure** actually favours.

REAL-WORLD APPLICATION

- 📁 **If you have a full-time job, swing or positional usually fits better than pure intraday.** Many working professionals build their real edge here — checking charts in the evening — and use **F&O selectively around it**, rather than trying to day-trade during work hours.

ONE-LINE SUMMARY

Three styles, three sports: **intraday** (a sprint, no overnight risk, needs speed), **swing** (days-weeks, carries gap risk), and **positional** (a thesis-driven marathon). Pick the one that fits your **time, capital, temperament, and job** — write a **six-part plan** — and remember: **consistency beats excitement**, and more trades just means more costs.